

ARREARS NOTICE — FIRST REMINDER

Dear **[BORROWER FIRST NAME]**

Your loan repayment has not reached us, and the account is now past its due date. This letter sets out exactly what is owed and how we can put it right. Please read it and then contact us.

We would far rather agree something with you than let this account get worse. Nothing in this letter is a legal step. It is a reminder and an offer to talk.

1. YOUR ACCOUNT

Item	Detail
Borrower	[BORROWER FULL NAME]
Namibian ID number	[ID NUMBER]
Loan reference	[LOAN REFERENCE]
Date the loan was paid out to you	[DD/MM/YYYY]
Date repayment was due	[DD/MM/YYYY]
Days past due	[NUMBER]
Date of this notice	[DD/MM/YYYY]
Figures below are correct as at	[DD/MM/YYYY]

2. WHAT IS OWED TODAY

Item	Amount
Loan amount paid out to you	N\$ [AMOUNT]
Interest charged on the loan	N\$ [AMOUNT]
Service fee charged on the loan	N\$ [AMOUNT]
Extension charges, if the loan was extended	N\$ [AMOUNT]
Default interest charged so far	N\$ [AMOUNT]
Total of the loan amount and all charges	N\$ [AMOUNT]
Less: all payments received from you to date	N\$ [AMOUNT]
TOTAL NOW OWING	N\$ [AMOUNT]

2.1 There is no charge for this reminder. We have not added a fee for sending it.

2.2 If you paid in the last few days and this letter crossed with your payment, please ignore it. Send us the proof of payment and we will confirm in writing.

2.3 If any figure above looks wrong to you, say so. We will check our records against yours and correct any mistake we have made. You may also ask us for a full statement of account, which we will give you free of charge.

3. HOW YOUR PAYMENTS ARE APPLIED

3.1 Every payment you make is applied first to the interest and the service fee, and only what is left over reduces the loan amount itself. Your loan agreement says this, and our books work the same way. It is the reason the loan amount can still look high after you have paid something.

3.2 A worked example. On a loan of N\$2,000.00 with total charges of N\$600.00, the total owing is N\$2,600.00. If you pay N\$700.00, the first N\$600.00 clears the charges and the remaining N\$100.00 comes off the loan amount, leaving N\$1,900.00 owing.

4. FOUR WAYS TO PUT THIS RIGHT

4.1 Pay the full amount. Pay N\$ [AMOUNT] using the details in section 5. The account then closes, and we send you a paid-up letter free of charge.

4.2 Pay part of it now, and tell us when the rest is coming. Any payment helps. Send us the proof of payment and the date you expect to pay the balance.

4.3 Ask for a written payment arrangement. If you cannot pay in one amount, we can split the balance into instalments you can actually afford. We both sign a document called an *Acknowledgement of Debt and Payment Arrangement*. For as long as you keep to that arrangement, we add no further interest, no further fees and no further charges, and we take no legal steps against you.

4.4 Ask about an extension. In some cases we can move the due date. Be careful with this one. An extension gives you more time but no more money, and it can cost you more. There is also a legal ceiling on the total charges we may ever add to a loan, so an extension charge is not always available. Ask us, and we will tell you honestly whether it is possible on your account and what it would cost.

5. HOW TO PAY

Method	Details
Bank transfer or EFT	[BANK NAME], account name [ACCOUNT NAME], account number [ACCOUNT NUMBER], branch code [BRANCH CODE]
Reference to use	[LOAN REFERENCE]
Cash	[PHYSICAL ADDRESS], during [OFFICE HOURS]
Send proof of payment to	WhatsApp +264 81 264 6222 or email [EMAIL ADDRESS]

- 5.1** Always use your loan reference so the money reaches the right account. Keep your proof of payment.
- 5.2** We collect only by bank transfer, by cash at our office, or by an authorised debit order. Nobody is authorised to collect money from you anywhere else, and no member of our staff may ask you to pay into a personal account.

6. TALK TO US

- 6.1** Call or WhatsApp **+264 81 264 6222**, or email **[EMAIL ADDRESS]**. Ask for **[CONTACT PERSON NAME]**.
- 6.2** Telling us that you cannot pay right now is not a problem. We can work with that. Not hearing from you at all is what forces us to take formal steps.

7. WHAT WE WILL NOT DO

- 7.1** We will not keep or use your bank card, your PIN, your original Namibian ID, your original passport or your original driver's licence. Section 23(1)(f) of the Microlending Act 7 of 2018 forbids it. We keep copies only, and originals are handed straight back to you. If anyone asks you for these, refuse, and report it to NAMFISA on 0800 290 500.
- 7.2** We will not discuss your account with your employer, your family, your neighbours, or in any group chat. Your information stays confidential. The only exception is reporting to a registered credit bureau, which your loan agreement already covers.
- 7.3** We will not take your property, and we will not send anyone to your workplace or your home to embarrass you.
- 7.4** We will not threaten you, insult you or shame you. If anyone acting for us does, tell us and tell NAMFISA.
- 7.5** Not repaying a loan is not a crime in Namibia. It is a civil matter. We will not lay a criminal charge against you over this debt.

8. IF WE DO NOT HEAR FROM YOU

- 8.1** We want to settle this with you directly. If we have not heard from you by **[DD/MM/YYYY]**, this account moves to the next stage, which is a *Final Letter of Demand*. That letter gives you a last deadline before formal steps are taken.
- 8.2** Default interest may be added to the overdue amount. Default interest is charged at not more than 5% of the amount overdue, and for not more than three months in total. After three months, no further default interest is added to this account.
- 8.3** Interest and charges on your account stop growing once the unpaid interest and charges equal the loan amount still outstanding. Lawyers call this the *in duplum* rule. In plain words, the charges on your account can never grow to more than the loan money you still owe.
- 8.4** Your payment record on this loan is reported to a registered credit bureau, as your loan agreement provides. Late payment and non-payment are reported. So is payment in full. Clearing this account improves that record.

9. YOUR RIGHTS ON THIS ACCOUNT

- 9.1** You may ask us at any time for a statement of account showing every charge we have raised, every payment you have made, and the balance outstanding. The first copy is free. A duplicate copy costs no more than N\$2.00 per page.
- 9.2** You may settle the account early, or pay in extra amounts, at any time. There is no penalty for paying early. If you settle early, we may charge interest and fees only in proportion to the number of days you actually had the money.
- 9.3** You may ask us for a copy of the Microlending Act 7 of 2018, the regulations and the NAMFISA microlending standards, and for our complaints procedure and complaint form. We keep these available and we provide them free.

10. IF YOU ARE NOT HAPPY WITH HOW WE HANDLE THIS

- 10.1** Please complain to us first, in writing, by email to [EMAIL ADDRESS] or by letter to [PHYSICAL ADDRESS]. Address it to the Principal Officer, [PRINCIPAL OFFICER NAME]. We will acknowledge your complaint within [NUMBER] business days and reply within [NUMBER] business days.
- 10.2** If we do not resolve it, you may take the complaint to NAMFISA, the authority that regulates us. Ask us for a NAMFISA Complaint Intake Form. We must give you one free of charge.

NAMFISA	Contact details
Address	51-55 Werner List Street, Gutenberg Plaza, Windhoek
Postal	P O Box 21250, Windhoek
Toll free	0800 290 500
Email	complaints@namfisa.com.na

Yours faithfully

The Lender	
Signature	
Full name	[SIGNATORY FULL NAME]
Capacity	[CAPACITY]
Date	[DD/MM/YYYY]
Place	[PLACE]

Delivery record — for our file

Item	Detail
Delivered by	[HAND / WHATSAPP / EMAIL / POST]
Delivered to	[ADDRESS, NUMBER OR EMAIL USED]
Date and time sent	[DD/MM/YYYY] , [TIME]
Sent by	[STAFF FULL NAME]
Proof kept	[SCREENSHOT / SIGNED RECEIPT / POST SLIP REFERENCE]